TEACHER GUIDE

IB Diploma Programme Business management HL

Market share and segmentation



Unit 4: Marketing
4.1 Introduction to marketing; 4.2 Marketing planning

A revision lesson. Students run a car dealership in firms of four and revise market share and segmentation on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What students do

Every student buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Segment revenue

Round 1

Revenue in one segment.

Dealer's revenue from this segment?

Town's car sales, a year	**£850,000**
First-time buyers, % of sales	**30%**
Dealer's share of them	**20%**

ANSWER

£51,000

30% × £850,000 = £255,000;
× 20% = £51,000

Why: The segment is worth £255,000. The dealer takes 20% of it.

2 High share benefits

Round 1

A higher market share is your main marketing objective.

Which two are benefits of a high share?

- **A** Higher profit is certain
- **B** Less need to control costs
- **C** The market grows faster
- **D** More buying power with suppliers
- **E** Buyers see you as the leader

ANSWER

✓ More buying power with suppliers
✓ Buyers see you as the leader

Why: A leader buys better and is trusted, but share does not guarantee profit.

3 Rank market growth

Round 2

Three markets, sales last year and this year.

Order by market growth, fastest first?

- **A** 20,000 to 21,000 cars
- **B** 8,000 to 8,800 cars
- **C** 2,000 to 2,300 cars

ANSWER

1. 2,000 to 2,300 cars
2. 8,000 to 8,800 cars
3. 20,000 to 21,000 cars

Why: Growth: 15%, 10%, 5%. The most extra cars is the slowest growth.

Topic tasks

4 Segment next year

Round 2

A growing segment.

Dealer's revenue from it next year?

Town's car sales, a year	**£500,000**
First-time buyers, % of sales	**20%**
Segment grows by	**5%**
Dealer's share of segment	**10%**

ANSWER

£10,500

20% × £500,000 = £100,000; + 5% = £105,000; × 10% = £10,500

Why: Find the segment, grow it, then take the dealer's share.

5 Did we do well?

Round 3

Your sales rose 10% this year. The market rose 20%.

Did you keep pace with the market, and why?

A No

B Yes

ANSWER

✔ **No**

Why: Your share fell: rivals took more of the growth than you.

6 Cars to hit target

Round 3

Win a bigger share.

Extra cars needed next year to hit the target?

Town sales this year	**550 cars**
The market grows by	**20%**
Dealer's sales this year	**44 cars**
Target share next year	**10%**

ANSWER

22 cars

550 + 20% = 660; 10% × 660 = 66; 66 − 44 = 22

Why: The target is a share of next year's bigger market.

Final questions

Each student answers 6 final questions on market share and segmentation. They come from these 14 questions.

1. A service-plan provider targets small delivery firms whose vans each travel more than 30,000 miles a year. Which bases of segmentation are being combined?
   ✔ **Business size and usage rate**

2. A dealership sold 420 of the 6,000 vans sold in its regional market. What was its unit market share?
   ✔ **7%**

3. Annual sales in a used-EV market rose from 48,000 to 60,000 units. What was the market growth rate?
   ✔ **25%**

4. Owners of cars over eight years old respond strongly to fixed-price repair bundles. Which targeting rule uses the evidence most directly?
   ✔ **Target owners of 8+ year-old cars**

5. A town has many small MOT centres, customers can compare prices easily and no centre controls supply. Which market feature is most evident?
   ✔ **A competitive market**

6. Registrations for used electric cars rise from 8,000 to 10,400 in a region. What is the percentage market growth?
   ✔ **30%**

7. Research finds commuters driving 40–70 miles a day with no home charging. Which proposition fits this segment best?
   ✔ **A hybrid offer with charging advice**

8. A price-comparison platform makes dealer prices easier to observe. What competitive effect is most plausible?
   ✔ **Price pressure on similar dealers**

9. A regional dealer sells 1,350 vehicles in a market of 18,000. What is its unit market share?
   ✔ **7.5%**

10. The Sales lead has separate evidence for one-van sole traders and 200-plus vehicle national fleets. Why question one identical proposal?
    ✔ **Their needs and buying power differ**

Final questions

11 Regional used EV registrations rise from 1,800 to 2,340 a year. What is the market growth rate?

✔ **30%**

12 A dealer has identified family, taxi and delivery segments. It now advertises only to delivery firms. What has it done?

✔ **Targeted one segment of the market**

13 5,600 vans are sold in a region in a year, and one dealer group sells 728. What is its market share?

✔ **13%**

14 A dealer's van sales rise from 300 to 345 while the regional market grows from 2,000 to 3,000. What happened to its market share?

✔ **Share fell from 15% to 11.5%: rivals won more new demand**